

Nestle (NESN.S)

Soft US growth and caution on margin trajectory do not derail company turnaround;
Reiterate Buy

NESN.S

12m Price Target: **SFr95.00**Price: **SFr86.17**Upside: **10.2%**

Nestlé reported Q2 organic sales growth of 3.7% with +1.8% in RIG which, although in line with consensus, appeared light in the context of the stock's strong run into the print. Within group RIG, we flag the strong performance in AOA, with China yet to contribute. However, North America RIG in Q2 was -0.6% affected by destocking in Petcare and low consumer confidence weighing on performance. Europe RIG of +0.5% in Q2 was held back by delistings which might impact Q3 alongside the ongoing, albeit moderating, drag from the IMF recall. UTOP margin of 16.4% was better than expected despite an increase in marketing, but saw a 30bps one-off benefit from the pension scheme change.

Guidance unchanged but concerns remain around margins;

Management is expecting H2 UTOP margin to be similar to H1, but as the pension benefit should not benefit H2, it implies a sequential underlying improvement. Despite a volatile input cost environment, management reiterated its 17% mid-term guidance and committed to some margin progression in FY27e albeit not quantified at this stage. We forecast 20bps margin progression per year, assuming that any windfall will be reinvested in marketing to boost future RIG.

Progress on disposals could lead to a share buy back

announcement in 2027; Nestlé has announced plans to create a 50:50 JV with Platinum Equity, for its waters and premium beverages by H1 27. Nestlé expects to receive CHF2.8bn in cash proceeds at closing. Nestlé will also classify its mainstream VMS and ice cream businesses as “assets held for sale” as the sales processes progress.

Turnaround story will not be linear but still intact; While H1 is a set back and H2 is lapping tougher comps on RIG, we continue to see encouraging momentum in Petcare sell-out and resilience in coffee. We expect +1.1% RIG growth in Q3, +1.3% in Q4 and +1.9% in FY27e, close to the 2% target. Nestlé trades on an attractive 16x CY27e P/E with 5% FCF and 4% dividend yield.

BUY

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Key Data

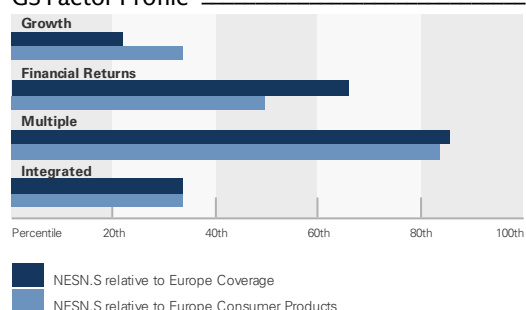
Market cap: SFr222.0bn / \$272.8bn
Enterprise value: SFr271.8bn / \$334.1bn
3m ADTV: SFr290.7mn / \$365.1mn
Switzerland
Europe Consumer Products
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (SFr mn) New	89,490.0	90,152.8	92,662.8	94,784.0
Revenue (SFr mn) Old	89,490.0	89,396.9	91,821.4	93,906.3
EBIT (SFr mn)	14,389.0	14,798.3	15,408.4	15,988.7
EPS (SFr) New	4.42	4.57	4.83	5.07
EPS (SFr) Old	4.42	4.53	4.80	5.00
P/E (X)	18.2	18.9	17.8	17.0
Dividend yield (%)	3.9	3.7	3.7	3.8
CROCI (%)	8.8	7.9	8.2	8.5
N debt/EBITDA (ex lease,X)	2.9	2.7	2.5	2.3

	6/25	12/25	6/26E	12/26E
EPS (SFr)	2.27	2.14	2.22	2.35

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

Nestle (NESN.S)

Rating since Dec 17, 2024

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
EV/sales (X)	2.9	3.0	2.9	2.8
EV/EBITDAR (X)	14.3	14.6	13.9	13.2
EV/EBITDA (excl. leases) (X)	14.3	14.6	13.9	13.2
EV/EBIT (X)	17.9	18.3	17.5	16.7
P/E (X)	18.2	18.9	17.8	17.0
Dividend yield (%)	3.9	3.7	3.7	3.8
EV/GCI (X)	1.4	1.4	1.4	1.4
CROCI (%)	8.8	7.9	8.2	8.5
ROIC (%)	13.8	14.3	15.8	16.5
ROA (%)	7.8	7.9	9.2	9.6
Days inventory outst, sales	53.2	52.4	51.7	50.9
Asset turnover (X)	2.7	2.8	3.0	3.1
Capex/D&A (%)	135.2	113.3	109.3	107.9
Net debt/equity (excl. leases) (%)	155.4	147.6	131.9	124.9
EBIT interest cover (X)	7.9	8.5	9.2	9.7
FCF cover of dividends (X)	1.4	1.2	1.3	1.4

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	(2.0)	0.7	2.8	2.3
EBITDA growth	(6.6)	2.9	4.6	4.2
EBIT growth	(8.4)	2.8	4.1	3.8
Net inc. growth	(8.2)	3.4	5.8	4.4
EPS growth	(7.3)	3.4	5.8	4.9
DPS growth	1.6	1.6	1.6	1.6

Price Performance

	3m	6m	12m
Absolute	14.1%	17.7%	11.2%
Rel. to the FTSE World Europe (GBP)	9.9%	12.9%	(5.2)%

Source: FactSet. Price as of 22 Jul 2026 close.

Balance Sheet (SFr mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	4,579.0	6,129.4	8,214.6	11,108.7
Accounts receivable	10,561.0	10,367.6	10,563.6	10,710.6
Inventory	12,813.0	13,072.2	13,158.1	13,269.8
Other current assets	4,016.0	4,000.0	4,000.0	4,000.0
Total current assets	31,969.0	33,569.1	35,936.3	39,089.0
Net PP&E	32,549.0	30,983.5	30,520.2	29,998.8
Net intangibles	44,309.0	44,669.6	45,040.3	45,419.4
Total investments	12,096.0	12,934.4	13,852.2	14,850.0
Other long-term assets	6,228.0	6,228.0	6,228.0	6,228.0
Total assets	127,151.0	128,384.6	131,576.9	135,585.3
Accounts payable	20,023.0	20,554.8	21,312.4	21,989.9
Long-term debt	11,606.0	11,606.0	11,606.0	13,606.0
Short-term lease liabilities	—	—	—	—
Other current liabilities	9,065.0	9,065.0	9,065.0	9,065.0
Total current liabilities	40,694.0	41,225.8	41,983.4	44,660.9
Long-term debt	46,246.0	46,246.0	46,246.0	46,246.0
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	7,153.0	7,153.0	7,153.0	7,153.0
Total long-term liabilities	53,399.0	53,399.0	53,399.0	53,399.0
Total liabilities	94,093.0	94,624.8	95,382.4	98,059.9
Preferred shares	—	—	—	—
Total common equity	32,810.0	33,511.7	35,946.5	37,277.4
Minority interest	248.0	248.0	248.0	248.0
Total liabilities & equity	127,151.0	128,384.6	131,576.9	135,585.3
Capital employed	90,910.0	91,611.7	94,046.5	97,377.4
Adj for unfunded pensions & GW	—	—	—	—

Cash Flow (SFr mn)

	12/25	12/26E	12/27E	12/28E
Net income	12,277.0	11,790.3	13,647.8	14,661.7
D&A add-back	3,633.0	3,741.3	3,984.5	4,217.9
Minority interest add-back	—	—	—	—
Net (inc)/dec working capital	488.0	466.1	475.7	418.8
Other operating cash flow	(494.0)	(1,895.8)	(3,204.0)	(3,297.1)
Cash flow from operations	15,904.0	14,101.9	14,903.9	16,001.3
Capital expenditures	(4,911.0)	(4,237.2)	(4,355.2)	(4,549.6)
Acquisitions	(75.0)	—	—	—
Divestitures	(81.0)	—	—	—
Others	700.0	—	—	—
Cash flow from investing	(4,367.0)	(4,237.2)	(4,355.2)	(4,549.6)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(8,021.0)	(8,330.4)	(8,463.5)	(8,557.6)
Inc/(dec) in debt	(2,641.0)	0.0	0.0	2,000.0
Other financing cash flows	(1,403.0)	0.0	0.0	(2,000.0)
Cash flow from financing	(12,065.0)	(8,330.4)	(8,463.5)	(8,557.6)
Total cash flow	(963.0)	1,550.4	2,085.2	2,894.1
Reinvestment rate (%)	31.9	31.1	30.2	29.2

Source: Company data, Goldman Sachs Research estimates.

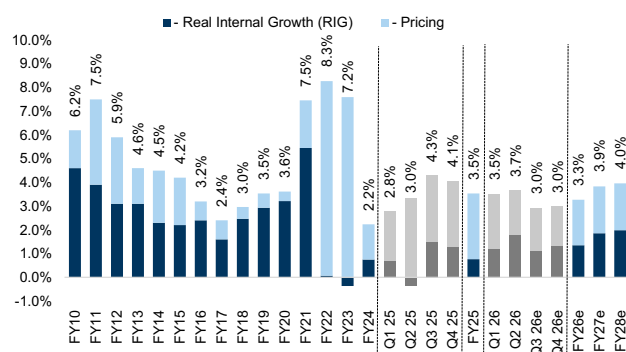
Income Statement (SFr mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	89,490.0	90,152.8	92,662.8	94,784.0
Total operating expenses	(75,101.0)	(75,354.5)	(77,254.4)	(78,795.3)
R&D	—	—	—	—
Other operating inc./(exp.)	—	—	—	—
EBITDA	18,022.0	18,539.6	19,392.9	20,206.6
Depreciation & amortisation	(3,633.0)	(3,741.3)	(3,984.5)	(4,217.9)
EBIT	14,389.0	14,798.3	15,408.4	15,988.7
Net interest inc./(exp.)	(1,526.0)	(1,525.4)	(1,413.0)	(1,308.5)
Income/(loss) from associates	1,143.0	1,641.4	1,722.2	1,873.6
Profit/(loss) on disposals	—	—	—	—
Total other net	(2,112.0)	(3,008.0)	(1,760.6)	(1,327.0)
Pre-tax profit	11,894.0	11,906.3	13,956.9	15,226.9
Provision for taxes	(2,640.0)	(2,874.2)	(3,058.7)	(3,338.3)
Minority interest	(221.0)	(225.4)	(229.9)	(234.5)
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	9,033.0	8,806.7	10,668.3	11,654.1
Post-tax exceptionals	2,334.0	2,945.0	1,760.6	1,327.0
Net inc. (post-exceptionals)	11,367.0	11,751.7	12,428.9	12,981.0
EPS (basic, pre-exception) (SFr)	3.51	3.42	4.15	4.55
EPS (basic, post-exception) (SFr)	4.42	4.57	4.83	5.07
Wtd avg shares out. (basic) (mn)	2,573.0	2,573.0	2,573.0	2,561.0
Tax rate (%)	22.2	24.1	21.9	21.9
Common dividends declared	7,985.6	8,111.3	8,240.0	8,329.6
DPS (SFr)	3.10	3.15	3.20	3.25

Nestlé in 6 key charts

Exhibit 1: We forecast 3.3% organic sales growth in FY26

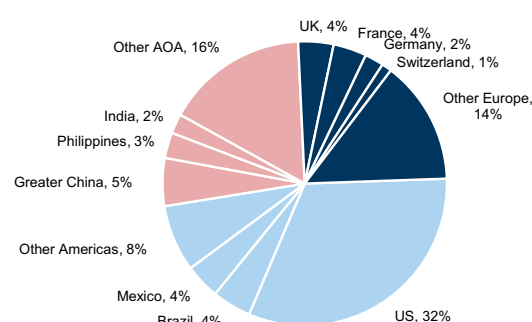
Nestlé: Organic Sales Growth, split by driver, over time



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: The US is 32% of sales of which 45% is Pet Care

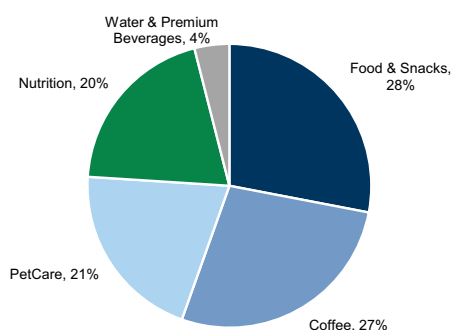
Nestlé: 2025 sales by country and region



Source: Company data

Exhibit 3: Food & Snacks and Coffee are the two largest categories, accounting for 55% of sales

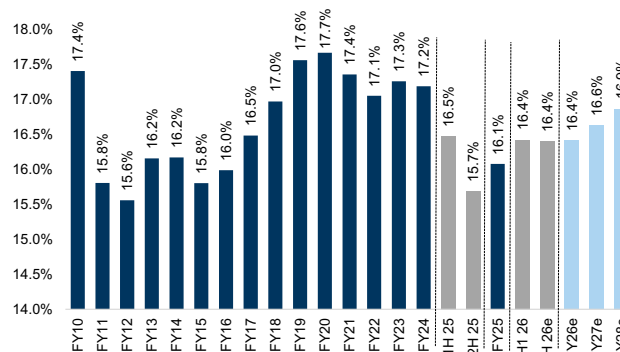
Nestlé: 2025 sales by category



Source: Company data

Exhibit 4: Operating margin should progressively recover as input costs ease

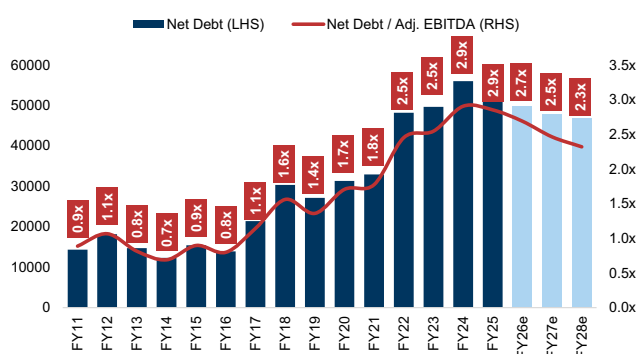
Nestlé: Group underlying trading operating margin



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: We expect financial leverage to drop to 2.5x by FY27e before disposals

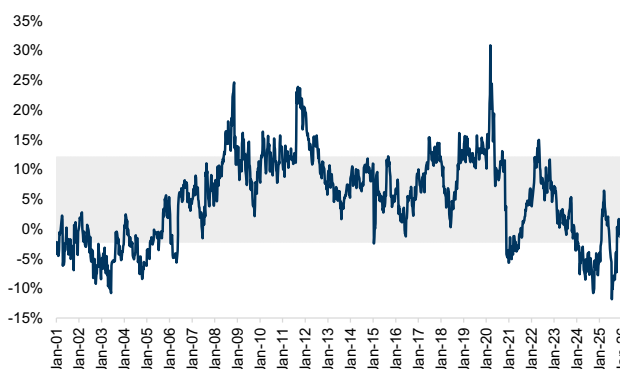
Net Debt (CHFm, LHS), Net Debt to Adj. EBITDA (RHS)



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 6: Nestlé trades at parity to GS Consumer Staples

Nestlé: 12m fwd P/E premium/(discount) relative to GS Consumer Staples (excl. Tobacco)



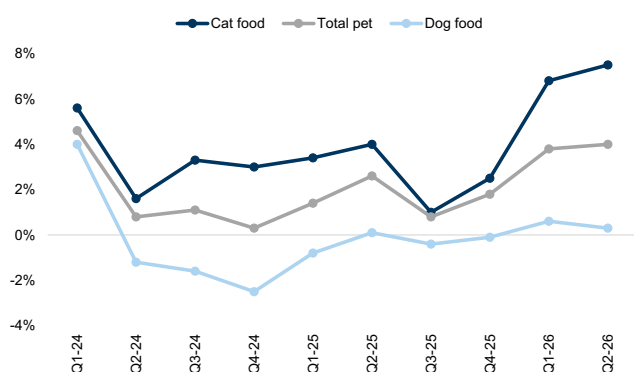
Source: LSEG Data & Analytics

Key highlights from H1 results

We highlight the key positives and negatives from H1, starting with positive fundamentals for Petcare, strong growth in AOA (Asia, Oceania, Africa) and strong returns from cost savings;

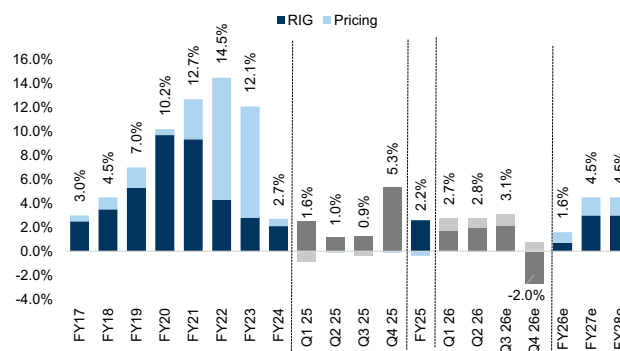
I. The Pet food category shows good underlying fundamentals, despite temporary headwinds in the US in Q2 linked to destocking. Management remains confident in the category's medium-term growth outlook. By region, Petcare grew mid-single digit in Europe, while EMs demonstrated good momentum. However, growth was negatively affected by retailer inventory reductions in the US, which was likely caused by the company's improved supply levels reducing the need for retailers to hold onto safety stocks. Management confirmed that US sell-out trends remained strong in Q2 vs Q1, with an acceleration in cat food. Looking forward, Nestlé does not expect further impacts from retailer destocking but cautioned that Q4 growth will be lapping a tougher comp as Q4 25 Petcare sales benefitted from pre-buying ahead of planned price increases.

Exhibit 7: Pet has been accelerating in the US
US Petcare, Nestlé retail sell-out growth



Source: Nielsen, Company data

Exhibit 8: We expect muted +1.6% growth for Pet Care in FY26e before bouncing back in FY27e
Nestlé Pet Care organic sales growth

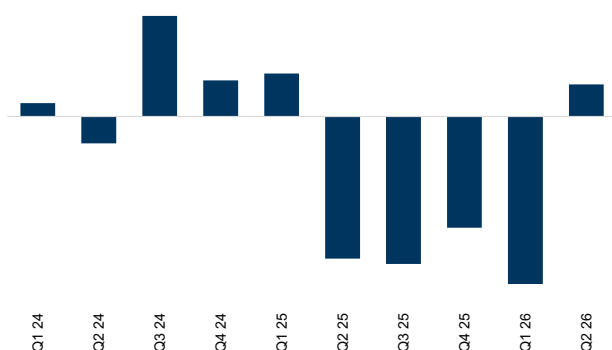


Source: Company data, Goldman Sachs Global Investment Research

II. AOA's strong growth in Q2 was broad-based, with headwinds from Greater China easing as the trade inventory reductions were lower than Q1 25. Management called out strong growth in Japan and India, and confirmed that although India will begin to lap the tailwinds from GST changes in Q3, it continues to expect double-digit growth. In Greater China, the new management team is focusing on driving innovation, using the right distribution mechanisms, and prioritising the right brand investments. However, Nestlé's end-categories continue to decline -1% to -3%, and management acknowledged that for now it is still losing share in some categories. Excluding China, Nestlé has been consistently gaining share across AOA.

Exhibit 9: China organic sales decline has stabilised

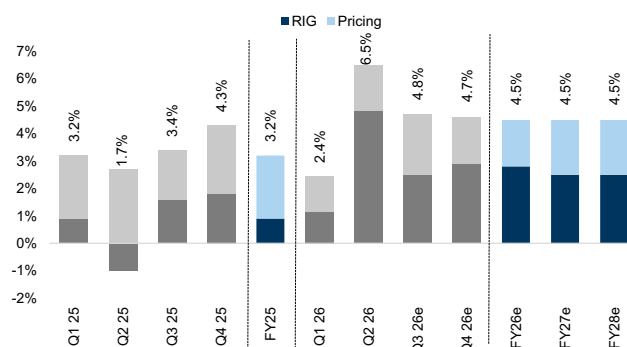
China organic sales growth



Source: Company data

Exhibit 10: We expect continued RIG momentum in AOA

Zone AOA organic sales growth

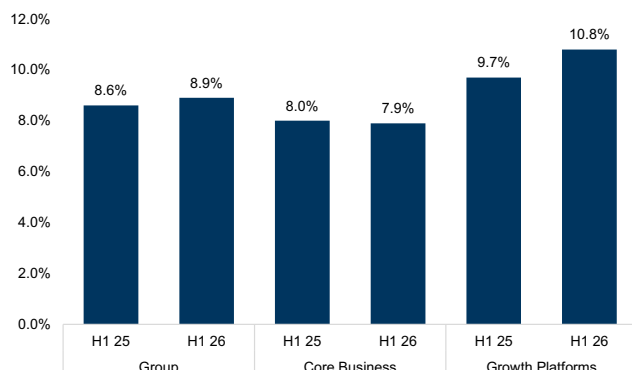


Source: Company data, Goldman Sachs Global Investment Research

III. Cost savings investments already yielding strong returns, with savings coming in slightly ahead of plan and driving a 150bp benefit to margins in H1, through CHF600m in incremental procurement and operational efficiency savings. This brings cumulative savings from the Fuel for Growth program to CHF1.7bn putting Nestlé on-track to reach its CHF2bn ambition in FY26 and CHF3bn by the end of FY28. Cost savings are also supporting increased advertising and marketing spend which reached 8.9% in H2 vs H1 26, with the incremental spend targeted at the group's growth platforms.

Exhibit 11: Nestlé has increased marketing spend behind its growth platforms

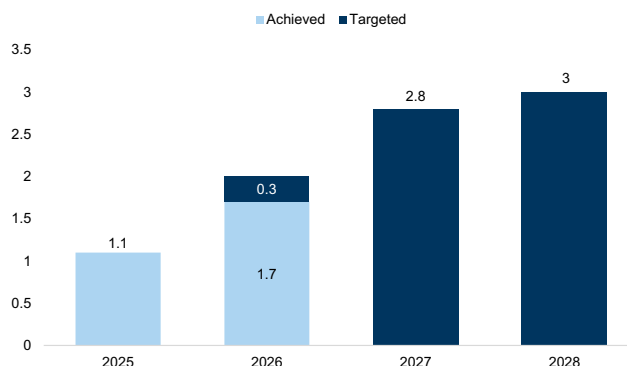
Nestlé advertising and marketing % sales



Source: Company data

Exhibit 12: The Fuel for growth cost savings are running ahead of schedule

Nestlé Fuel for growth cost savings



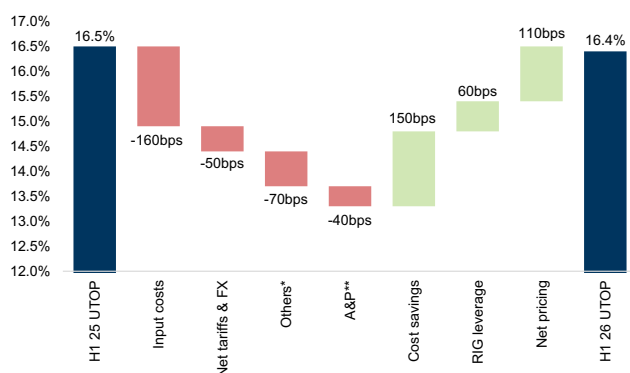
Source: Company data

We see the main negatives from H1 results as the lack of UTOP margin improvement now expected for H2 driving uncertainty around how much margins can expand in FY27, alongside continued headwinds from infant formula...

I. H2 margins are now only expected to be similar to H1 (previously guided for expansion HoH), with management confirming that improving raw material costs for coffee and cocoa are now likely to be at least partially offset by higher transport and energy costs due to the Middle East conflict. While management did confirm that Nestlé's UTOP margin is expected to improve further in FY27, albeit not quantified. Although the H1 26 UTOP margin of 16.4% includes a one-time +30bps benefit, it also includes operating deleverage associated with the infant formula recall (which should mostly normalise by the end of the year) and +40bps in higher marketing costs.

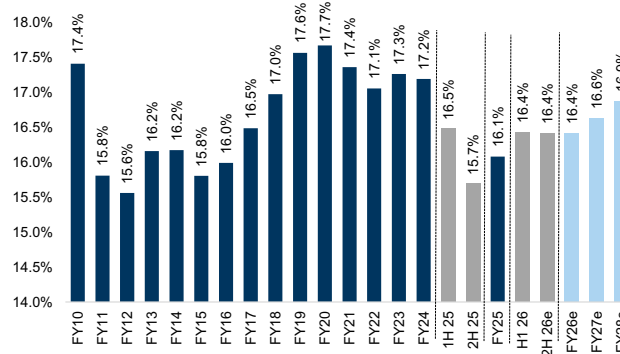
Nestlé's H1 UTOP margin had a one-time 30bps benefit from pension credits. This was due to a curtailment gain arising from Nestlé adjusting its benefits package to better align with employee preferences, by allowing employees to take a lump sum on retirement instead of only offering a regular pension payment. While management does not anticipate a further P&L benefit from these actions, they should provide a small cash flow benefit over time. Our understanding is that it won't benefit H2 26 but will be in the base for H1 27.

Exhibit 13: Cost savings drove 150bps of margin expansion
Nestlé UTOP margin bridge



Source: Company data

Exhibit 14: We expect Nestlé to deliver 30bps UTOP margin expansion in FY26e
Nestlé UTOP margin



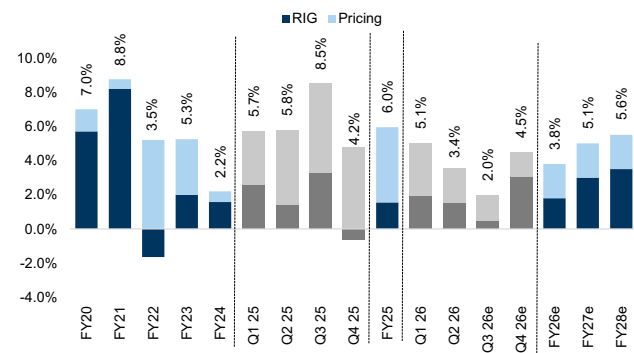
Source: Company data, Goldman Sachs Global Investment Research

II. Infant formula remained a headwind to growth in Q2, despite the initial impact from the recall in Q1 subsiding. However, there was a clear sequential improvement, with infant nutrition sales down mid-teens in Q1, while in Q2 the decline was only mid-single digit. Nestlé expects further improvement throughout the rest of 2026 and for the business to have largely recovered by the end of the year.

III. Mixed bag in coffee with strong Americas and AOA offset by Europe weakness.

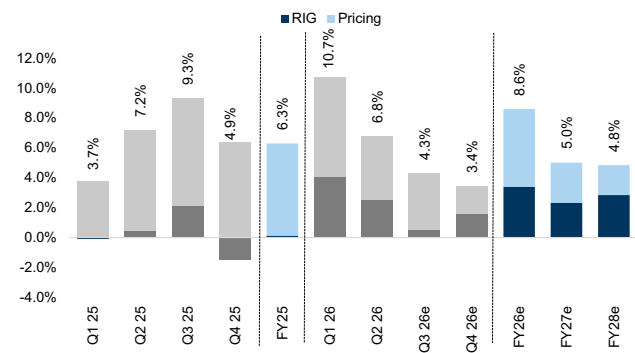
US coffee RIG slowed as the group increased prices on its Starbucks portfolio, and saw a negative initial RIG reaction, as expected. However, in the rest of Zone Americas RIG strengthened, with double-digit growth in Nescafé across major markets, albeit with Coffee mate declining. AOA and Europe both saw RIG led high-single-digit growth led by Nescafé, as pricing moderated. In Nespresso, the group is seeing new and younger consumers entering the category, and is seeing share gains in the US with Vertuo, albeit with growth moderating. However, Europe remains under pressure driven by the ongoing competitive intensity in its Original line.

Exhibit 15: We expect Nespresso to grow +3.8% in FY26e
Nespresso organic sales growth



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 16: while the rest of the coffee rows +8.6% driven by pricing with strong RIG
Coffee ex. Nespresso organic sales growth



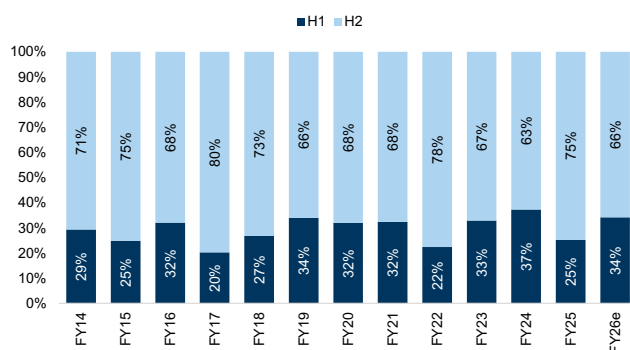
Source: Company data, Goldman Sachs Global Investment Research

Progress on disposals with waters JV, and strong cash generation

Nestlé is progressing with its disposals, and has announced plans to create *Peranel*, a 50:50 JV with Platinum Equity, for Nestlé's waters and premium beverages. The transaction is expected to close in H1 27 and assigns an enterprise value of €4.9bn, implying Nestlé will receive CHF 2.8bn in cash proceeds at closing. Nestlé will also classify its mainstream VMS and ice cream businesses as “assets held for sale” as the sales processes progress. On a pro-forma basis, accounting for the waters proceeds, Nestlé would have CHF5.3bn available for debt reduction in FY27 and could reduce net debt to EBITDA to 2.3x (current GSe 2.5x). We expect Nestlé to deliver CHF 9.9bn FCF in FY26e, supported by lower capex and working capital efficiencies, with FCF generation H2 weighted.

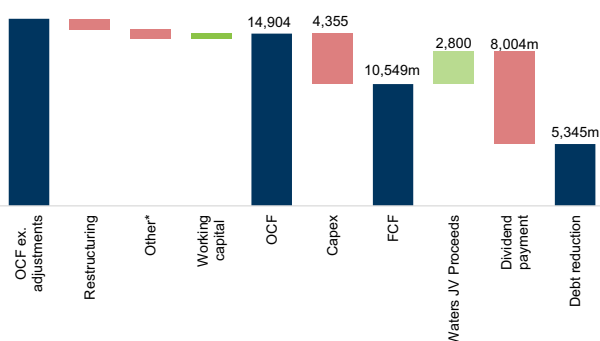
Exhibit 17: Nestlé FCF generation has historically been H2 weighted

Nestlé FCF phasing



Source: Company data, Goldman Sachs Global Investment Research

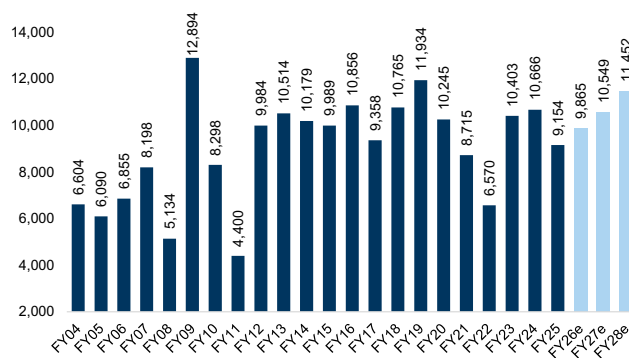
Exhibit 19: The new waters JV could support an additional CHF 2.8bn of debt reduction
2027 pro forma FCF bridge



Source: Goldman Sachs Global Investment Research

Exhibit 18: We expect Nestlé to deliver CHF 9.9bn FCF in FY26e

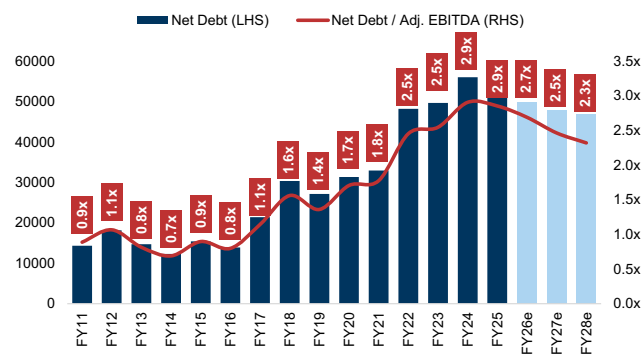
Nestlé FCF, CHFm



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 20: We expect financial leverage to drop to 2.5x by FY27e before disposals

Net Debt (CHFm, LHS), Net Debt to Adj. EBITDA (RHS)



Source: Company data, Goldman Sachs Global Investment Research

Summary financials

Exhibit 21: Nestlé: Summary P&L

NESTLÉ	DEC YE	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26e	FY27e	FY28e
NET SALES	0	91,439	92,568	84,343	87,088	94,424	92,998	91,354	89,490	90,153	92,663	94,784
Organic Growth	%	3.0%	3.5%	3.6%	7.5%	8.3%	7.2%	2.2%	3.5%	3.3%	3.9%	4.0%
- Real Internal Growth (RIG)	%	2.5%	2.9%	3.2%	5.5%	0.1%	-0.4%	0.8%	0.8%	1.3%	1.9%	2.0%
- Pricing	%	0.5%	0.6%	0.4%	2.0%	8.2%	7.6%	1.5%	2.8%	1.9%	2.0%	2.0%
Net M&A impact	CHFm	627	(732)	(4,258)	(2,446)	999	(963)	(302)	70	0	0	0
Foreign Exchange impact	CHFm	(1,433)	(1,372)	(7,313)	(1,096)	(894)	(7,284)	(3,424)	(5,177)	(2,284)	(977)	(1,584)
Underlying Trading Operating Profit	CHFm	15,521	16,260	14,903	15,119	16,103	16,053	15,704	14,389	14,798	15,408	15,989
- Underlying Trading Operating Profit Margin	%	17.0%	17.6%	17.7%	17.4%	17.1%	17.3%	17.2%	16.1%	16.4%	16.6%	16.9%
- Reported UTOP margin progression	bps	49bps	59bps	10bps	-31bps	-31bps	21bps	-7bps	-111bps	34bps	21bps	24bps
- Reported growth	%	5.1%	4.8%	-8.3%	1.4%	6.5%	-0.3%	-2.2%	-8.4%	2.8%	4.1%	3.8%
Trading Operating Profit	CHFm	13,789	13,674	14,233	12,159	13,195	14,520	14,633	12,675	13,040	13,648	14,662
Operating Profit	CHFm	13,752	16,078	14,796	11,679	12,326	14,063	14,724	12,277	11,790	13,648	14,662
Depreciation and Amortisation	CHFm	3,924	3,713	3,465	3,440	3,541	3,458	3,582	3,633	3,741	3,984	4,218
- as a % of sales	%	-4.3%	-4.0%	-4.1%	4.0%	3.8%	3.7%	3.9%	4.1%	4.2%	4.3%	4.5%
EBITDA	CHFm	17,676	19,791	18,261	15,119	15,867	17,521	18,306	15,910	15,532	17,632	18,880
Adjusted EBITDA	CHFm	19,445	19,973	18,368	18,559	19,644	19,511	19,286	18,022	18,540	19,393	20,207
NET FINANCE INCOME/EXPENSE	CHFm	(760)	(1,016)	(874)	(873)	(1,040)	(1,360)	(1,485)	(1,526)	(1,525)	(1,413)	(1,308)
Financial Income	CHFm	247	200	109	80	210	284	358	300	210	265	339
Financial Expense	CHFm	(1,007)	(1,216)	(983)	(953)	(1,250)	(1,644)	(1,843)	(1,826)	(1,736)	(1,678)	(1,648)
TAXATION	CHFm	(3,439)	(3,159)	(3,365)	(2,261)	(2,730)	(2,314)	(3,314)	(2,640)	(2,874)	(3,059)	(3,338)
- Effective tax rate	%	26.5%	21.0%	24.2%	20.9%	24.2%	18.2%	25.0%	24.6%	28.0%	25.0%	25.0%
PROFIT AFTER TAX	CHFm	9,553	11,903	10,557	8,545	8,556	10,389	9,925	8,111	7,391	9,176	10,015
Income from associates and joint ventures	CHFm	916	1,001	1,815	8,651	1,040	1,120	1,249	1,143	1,641	1,722	1,874
- Reported growth	%	11%	9%	81%	376.6%	-88.0%	7.7%	11.5%	-8.5%	43.6%	4.9%	8.8%
NET INCOME	CHFm	10,469	12,904	12,372	17,196	9,596	11,509	11,174	9,254	9,032	10,898	11,889
UNDERLYING NET INCOME	CHFm	12,104	12,923	11,983	12,334	12,988	12,710	12,376	11,367	11,752	12,429	12,981
Basic Earnings per Share	CHF/share	3.36	4.31	4.30	6.06	3.42	4.24	4.19	3.51	3.42	4.15	4.55
Diluted Earnings per Share	CHF/share	3.36	4.30	4.29	6.06	3.42	4.23	4.19	3.51	3.42	4.14	4.55
Underlying Earnings per Share	CHF/share	4.02	4.41	4.21	4.42	4.80	4.80	4.77	4.42	4.57	4.83	5.07
Dividend per share	CHF/share	2.45	2.70	2.75	2.80	2.95	3.00	3.05	3.10	3.15	3.20	3.25
- Reported growth	%	4.3%	10.2%	1.9%	1.8%	5.4%	1.7%	1.7%	1.6%	1.6%	1.6%	1.6%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 22: Nestlé: Summary cash flow statement

CASH FLOW STATEMENT	DEC YE	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26e	FY27e	FY28e
Cash flows from operating activities												
Operating profit	CHFm	13,752	16,078	14,796	11,679	12,326	14,063	14,724	12,277	11,790	13,648	14,662
Depreciation and amortization	CHFm	3,924	3,713	3,465	3,440	3,541	3,458	3,582	3,633	3,741	3,984	4,218
Impairment	CHFm	1,248	2,336	711	2,614	2,726	647	580	923	451	463	474
Net result on disposal of businesses	CHFm	(686)	(3,416)	(1,678)	(235)	79	221	62	237	1,250	0	0
Other non-cash items of income and expense	CHFm	137	(28)	248	(253)	216	82	(229)	110	0	0	0
Decrease/(increase) in working capital	CHFm	472	349	314	(173)	(3,133)	1,134	1,208	488	466	476	419
Variation of other operating assets and liabilities	CHFm	(37)	(94)	(699)	(427)	(514)	(425)	(334)	(807)	0	0	0
Interest paid	CHFm	(684)	(1,028)	(815)	(753)	(953)	(1,330)	(1,539)	(1,618)	(1,736)	(1,678)	(1,648)
Interest and dividends received	CHFm	192	162	76	43	118	193	273	205	210	265	339
Taxes paid	CHFm	(3,623)	(2,854)	(2,645)	(2,722)	(3,107)	(2,801)	(2,411)	(2,298)	(2,874)	(3,059)	(3,338)
Dividends and interest from associates and joint ventures	CHFm	703	632	604	651	608	699	759	2,754	803	804	876
Operating Cash Flow	CHFm	15,398	15,850	14,377	13,864	11,907	15,941	16,675	15,904	14,102	14,904	16,001
Cash flows from investing activities												
Capital Expenditure	CHFm	(3,869)	(3,695)	(4,076)	(4,880)	(5,095)	(5,714)	(5,638)	(4,527)	(3,877)	(3,984)	(4,170)
Expenditure on intangible assets	CHFm	(601)	(516)	(288)	(461)	(266)	(489)	(325)	(384)	(361)	(371)	(379)
Acquisition of businesses, net of cash acquired	CHFm	(9,512)	(125)	(4,520)	(6,394)	(1,710)	(211)	(809)	(75)	0	0	0
Disposal of businesses, net of cash disposed of	CHFm	4,310	9,959	3,916	3,530	160	215	(23)	(81)	0	0	0
Investments (net of divestments) in associates and joint ventures	CHFm	728	(540)	(182)	8,579	(918)	(582)	(532)	208	0	0	0
Inflows/(outflows) from treasury investments	CHFm	(5,159)	2,978	(749)	(3,610)	5,902	(80)	(1,251)	354	0	0	0
Other investing activities	CHFm	(163)	295	232	192	24	665	(46)	138	0	0	0
Investing Cash Flow	CHFm	(14,266)	8,356	(5,667)	(3,044)	(1,903)	(6,196)	(8,624)	(4,367)	(4,237)	(4,355)	(4,550)
Cash flows from financing activities												
Dividend paid to shareholders of the parent	CHFm	(7,124)	(7,230)	(7,700)	(7,681)	(7,618)	(7,829)	(7,816)	(7,849)	(8,105)	(8,234)	(8,323)
Dividends paid to non-controlling interests	CHFm	(319)	(463)	(268)	(302)	(284)	(323)	(174)	(172)	(225)	(230)	(235)
Acquisition of non-controlling interests	CHFm	(528)	(16)	(1)	(601)	(605)	(52)	(27)	(1,190)	0	0	0
Purchase of treasury shares	CHFm	(6,854)	(9,773)	(6,814)	(6,548)	(10,679)	(5,234)	(4,678)	(213)	0	0	(2,000)
Inflows from long-term financial debt	CHFm	9,900	57	10,330	11,339	10,936	9,806	7,992	2,803	0	0	0
Outflows from long-term financial debt	CHFm	(2,712)	(3,287)	(3,182)	(4,474)	(3,283)	(3,589)	(5,055)	(4,408)	0	0	0
Inflows/(outflows) from short-term financial debt	CHFm	3,520	(444)	(2,747)	(885)	148	(2,537)	2,396	(1,036)	0	0	2,000
Financing Cash Flow	CHFm	(4,117)	(21,156)	(10,382)	(9,152)	(11,385)	(9,758)	(7,362)	(12,065)	(8,330)	(8,464)	(8,558)
NET CASH FLOW	CHFm	(3,298)	2,829	(2,234)	1,757	(1,481)	(695)	742	(963)	1,534	2,085	2,894
Cash and cash equivalents at beginning of year	CHFm	7,938	4,640	7,469	5,235	6,992	5,511	4,816	5,558	4,595	6,129	8,215
Cash and cash equivalents at end of year	CHFm	4,640	7,469	5,235	6,992	5,511	4,816	5,558	4,595	6,129	8,215	11,109
Net Debt	CHFm	30,330	27,138	31,319	32,917	48,159	49,638	56,005	51,382	49,832	47,746	46,852
Net Debt to adj. EBITDA	CHFm	1.56x	1.36x	1.71x	1.77x	2.45x	2.54x	2.90x	2.85x	2.69x	2.46x	2.32x

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 23: Nestlé: Summary balance sheet

BALANCE SHEET	DEC YE	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26e	FY27e	FY28e
Current Assets												
Cash and cash equivalents	CHFm	4,500	7,469	5,235	6,988	5,511	4,816	5,556	4,579	6,129	8,215	11,109
Short-term investments	CHFm	5,801	2,794	3,374	7,007	1,176	1,035	2,315	1,651	1,651	1,651	1,651
Inventories	CHFm	9,125	9,343	10,101	11,982	15,019	11,896	13,260	12,813	13,072	13,158	13,270
Trade and other receivables	CHFm	11,167	11,766	10,746	11,155	11,116	10,995	11,251	10,561	10,368	10,564	10,711
Prepayments	CHFm	530	498	477	575	549	521	543	479	479	479	479
Derivative assets	CHFm	183	254	310	278	309	278	792	295	295	295	295
Current income tax assets	CHFm	869	768	708	1,204	1,285	1,284	1,334	1,383	1,383	1,383	1,383
Assets held for sale	CHFm	8,828	2,771	3,117	68	97	32	137	208	192	192	192
Total current assets	CHFm	41,003	35,663	34,068	39,257	35,062	30,857	35,188	31,969	33,569	35,936	39,089
Non-current Assets												
Property, plant and equipment	CHFm	29,956	28,762	25,840	28,345	30,141	30,467	33,706	32,549	30,983	30,520	29,999
Goodwill	CHFm	31,702	28,896	27,620	31,012	31,262	28,693	30,595	27,636	27,636	27,636	27,636
Intangible assets	CHFm	18,634	17,824	20,148	22,223	20,237	18,225	19,245	16,673	17,034	17,404	17,783
Investments in associates and joint ventures	CHFm	10,792	11,505	12,005	11,806	13,023	13,088	14,326	12,096	12,934	13,852	14,850
Financial assets	CHFm	2,567	2,611	2,594	2,824	3,253	2,947	3,650	3,641	3,641	3,641	3,641
Derivative assets	CHFm	0	0	0	0	0	130	84	229	229	229	229
Employee benefits assets and reimbursement rights	CHFm	545	565	468	2,417	1,161	962	1,475	1,412	1,412	1,412	1,412
Deferred tax assets	CHFm	1,816	2,114	1,285	1,258	1,043	1,181	995	946	946	946	946
Total non-current assets	CHFm	96,012	92,277	89,960	99,885	100,120	95,693	104,076	95,182	94,815	95,641	96,496
Total Assets	CHFm	137,015	127,940	124,028	139,142	135,182	126,550	139,264	127,151	128,385	131,577	135,585
Current Liabilities												
Financial debt	CHFm	14,694	14,032	12,019	10,092	10,892	9,416	11,863	11,606	11,606	11,606	13,606
Derivative liabilities	CHFm	448	420	254	464	352	317	408	202	202	202	202
Trade and other payables	CHFm	17,800	18,803	18,515	20,907	20,523	19,204	21,807	20,023	20,555	21,312	21,990
Accruals	CHFm	4,075	4,492	4,917	5,051	5,114	5,112	5,466	5,575	5,575	5,575	5,575
Provisions	CHFm	780	802	508	532	620	675	865	850	850	850	850
Current income tax liabilities	CHFm	2,731	2,673	2,661	2,962	2,447	2,360	2,435	2,338	2,338	2,338	2,338
Liabilities directly associated with assets held for sale	CHFm	2,502	393	848	12	28	0	19	100	100	100	100
Total current liabilities	CHFm	43,030	41,615	39,722	40,020	39,976	37,084	42,863	40,694	41,226	41,983	44,661
Non-current liabilities												
Financial debt	CHFm	25,700	23,132	27,928	36,482	43,420	45,825	51,697	46,246	46,246	46,246	46,246
Derivative liabilities	CHFm	0	0	0	0	470	239	307	144	144	144	144
Employee benefits liabilities	CHFm	5,919	6,151	5,118	3,779	2,884	2,718	2,629	2,299	2,299	2,299	2,299
Provisions	CHFm	1,033	1,162	1,029	1,106	1,113	1,303	1,086	980	980	980	980
Deferred tax liabilities	CHFm	2,540	2,589	2,636	3,794	3,671	2,886	3,767	3,554	3,554	3,554	3,554
Other payables	CHFm	390	429	1,081	234	856	108	222	176	176	176	176
Total non-current liabilities	CHFm	35,582	33,463	37,792	45,395	52,414	53,079	59,708	53,399	53,399	53,399	53,399
Total Liabilities	CHFm	78,612	75,078	77,514	85,415	92,390	90,163	102,571	94,093	94,625	95,382	98,060
Equity												
Share capital	CHFm	306	298	288	282	275	267	262	258	258	258	258
Treasury shares	CHFm	(6,948)	(9,752)	(6,643)	(6,194)	(9,303)	(5,155)	(4,283)	(388)	(388)	(388)	(388)
Translation reserve	CHFm	(20,432)	(21,526)	(24,397)	(22,266)	(23,559)	(27,581)	(26,788)	(29,944)	(29,944)	(29,944)	(29,944)
Other reserves	CHFm	(183)	(45)	(365)	(45)	(63)	(50)	363	(667)	(667)	(667)	(667)
Retained earnings	CHFm	84,620	83,060	76,812	81,363	74,632	68,261	66,363	63,551	64,253	66,687	68,018
Total equity attributable to shareholders of the parent	CHFm	57,363	52,035	45,695	53,140	41,982	35,742	35,917	32,810	33,512	35,946	37,277
Non-controlling interests	CHFm	1,040	827	819	587	810	645	776	248	248	248	248
Total equity	CHFm	58,403	52,862	46,514	53,727	42,792	36,387	36,693	33,058	33,760	36,194	37,525
Total liabilities and equity	CHFm	137,015	127,940	124,028	139,142	135,182	126,550	139,264	127,151	128,385	131,577	135,585

Source: Company data, Goldman Sachs Global Investment Research

Changes to estimates

We expect 1.1% RIG growth in Q3, 1.3% in Q4 and 1.9% in FY27e, close to Nestlé target of 2%. We leave our estimates broadly unchanged adjusting for FX.

Exhibit 24: Nestlé: New vs Old estimates

		New			Old			New vs Old		
		FY26e	FY27e	FY28e	FY26e	FY27e	FY28e	FY26e	FY27e	FY28e
Net revenue	CHFm	90,153	92,663	94,784	89,397	91,821	93,906	0.8%	0.9%	0.9%
- Organic Sales Growth	%	3.3%	3.9%	4.0%	3.3%	3.8%	4.0%	3bps	8bps	2bps
- Volume Growth (RIG)	%	1.3%	1.9%	2.0%	1.5%	2.0%	2.2%	(12bps)	(16bps)	(22bps)
- Price Growth	%	1.9%	2.0%	2.0%	1.8%	1.7%	1.7%	16bps	24bps	24bps
- FX impact	CHFm	-2284	-977	-1584	-3011	-960	-1564	-24.1%	1.8%	1.3%
- Acquisition impact	CHFm	0	0	0	0	0	0			
Zone Americas	CHFm	39,450	40,936	42,020	39,304	40,783	41,862	0.4%	0.4%	0.4%
- Organic growth	%	3.0%	3.8%	4.0%	3.3%	3.8%	4.0%	(31bps)	0bps	0bps
Zone AOA	CHFm	21,328	21,731	22,148	20684	21012	21415	3.1%	3.4%	3.4%
- Organic growth	%	4.5%	4.5%	4.5%	3.3%	4.2%	4.5%	122bps	31bps	0bps
Zone Europe	CHFm	18,874	19,172	19,475	18,992	19,292	19,596	-0.6%	-0.6%	-0.6%
- Organic growth	%	1.9%	3.0%	3.0%	2.7%	3.0%	3.0%	(81bps)	0bps	0bps
Nespresso	CHFm	6,581	6,878	7,183	6570	6880	7184	0.2%	0.0%	0.0%
- Organic growth	%	3.8%	5.1%	5.6%	4.1%	5.3%	5.6%	(31bps)	(20bps)	0bps
Nestle Waters and Premium Beverages	CHFm	3,613	3,634	3,642	3,555	3,557	3,546	1.7%	2.2%	2.7%
- Organic growth	%	4.9%	2.5%	2.5%	3.5%	2.0%	2.0%	142bps	51bps	51bps
Underlying Trading Operating Profit	CHFm	14,798	15,408	15,989	14,619	15,259	15,841	1.2%	1.0%	0.9%
- Underlying Trading Operating Profit Margin	%	16.4%	16.6%	16.9%	16.4%	16.6%	16.9%	6bps	1bps	(0bps)
- Reported Operating Profit margin progression	bps	34bps	21bps	24bps	27bps	27bps	25bps	6bps	(5bps)	(1bps)
- Organic operating profit margin growth	%	5.9%	5.4%	5.0%	5.6%	5.6%	5.0%	0bps	(0bps)	(0bps)
Zone Americas	CHFm	7,975	8,358	8,663	7,985	8,367	8,672	-0.1%	-0.1%	-0.1%
- Underlying Trading Operating Profit Margin	%	20.2%	20.4%	20.6%	20.3%	20.5%	20.7%	(10bps)	(10bps)	(10bps)
Zone AOA	CHFm	4,471	4,599	4,732	4,316	4,426	4,554	3.6%	3.9%	3.9%
- Underlying Trading Operating Profit Margin	%	21.0%	21.2%	21.4%	20.9%	21.1%	21.3%	10bps	10bps	10bps
Zone Europe	CHFm	3,134	3,222	3,311	3,210	3,299	3,391	-2.4%	-2.4%	-2.3%
- Underlying Trading Operating Profit Margin	%	16.6%	16.8%	17.0%	16.9%	17.1%	17.3%	(30bps)	(30bps)	(30bps)
Nespresso	CHFm	1,191	1,265	1,336	1,209	1,286	1,365	-1.5%	-1.6%	-2.1%
- Underlying Trading Operating Profit Margin	%	18.1%	18.4%	18.6%	18.4%	18.7%	19.0%	(30bps)	(30bps)	(40bps)
Nestle Waters and Premium Beverages	CHFm	335	341	345	330	333	336	1.7%	2.2%	2.7%
- Underlying Trading Operating Profit Margin	%	9.3%	9.4%	9.5%	9.3%	9.4%	9.5%	0bps	0bps	0bps
Net Financial income/expense	CHFm	(1,525)	(1,413)	(1,308)	(1,529)	(1,426)	(1,298)	-0.2%	-0.9%	0.8%
Taxation	CHFm	(2,874)	(3,059)	(3,338)	(2,846)	(2,976)	(3,307)	1.0%	2.8%	0.9%
Net Profit	CHFm	8,807	10,668	11,654	10,135	10,421	11,555	-13.1%	2.4%	0.9%
Diluted no. of shares	x	2,575	2,575	2,563	2,575	2,575	2,575	0.0%	0.0%	-0.5%
Diluted earnings per share	CHF/share	3.42	4.14	4.55	3.94	4.05	4.49	-13.1%	2.4%	1.3%
Underlying earnings per share	CHF/share	4.57	4.83	5.07	4.53	4.80	5.00	0.8%	0.6%	1.3%
Average net debt	CHFm	49,832	47,746	46,852	50,084	48,341	45,395	-0.5%	-1.2%	3.2%
Net debt / adj. EBITDA	x	2.7	2.5	2.3	2.7	2.5	2.3	-1.6%	-2.2%	2.3%

Source: Goldman Sachs Global Investment Research

Valuation and risks

Valuation Methodology: Our 12-month price target of CHF95 (unchanged) is derived using an equal blend of DCF and a multiples-based valuation. Our DCF-derived valuation implies an intrinsic value of CHF 92/share (from CHF 93/sh). We use a WACC of 7.4% and a 2.0% terminal growth rate (both unchanged). Our multiples-based valuation methodology implies a value of CHF 99/share (from CHF 97/sh). In our multiples-based valuation analysis, we use a target P/E multiple of 20x (unchanged), which we apply to our Q5-Q8 estimates. We are Buy rated.

Key downside risks to our view and PT: **(1)** Lower-than-anticipated growth in key categories. **(2)** Slower-than-anticipated margin recovery. **(3)** Value-dilutive asset separations or M&A. **(4)** FX risk given Nestlé reports in CHF. **(5)** Lower free cash flow generation.

Disclosure Appendix

Reg AC

We, Olivier Nicolai, Sam Darbyshire, CFA, Rebecca Ayo-Adebanjo, Srikar Mediseti, Aron Adamski and Tom Hulls, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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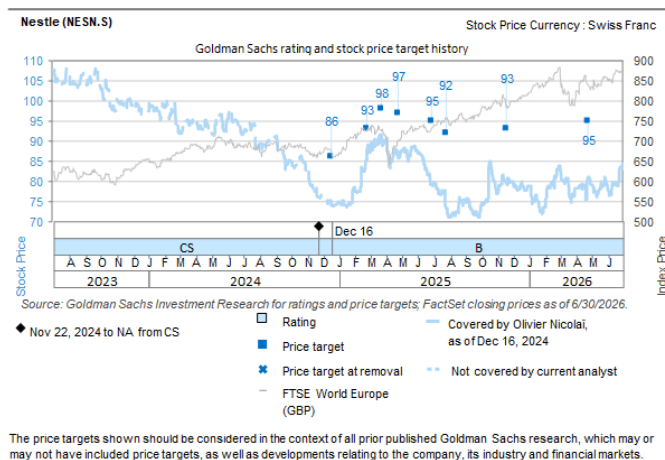
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Price target and rating history chart(s)



Target price history table(s)

Nestle (NESN.S)

Date of report	Target price (SFr)	Closing price (SFr)
24-Apr-26	95.00	81.17
20-Nov-25	93.00	79.23
25-Jul-25	92.00	73.32
30-Jun-25	95.00	78.83
25-Apr-25	97.00	85.74
24-Mar-25	98.00	89.60
24-Feb-25	93.00	87.78
17-Dec-24	86.00	75.22

Price targets shown in table(s) are unadjusted for corporate actions.

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